

Unit 2

Planning and Organizing

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- Manager must be able to plan and organize the work of the work-unit and groups, using goal setting, objectives, targets, creating work schedules and work-plans with associated budgets and resources, according to the Department's procedures, in order to achieve the tasks, functions and results/outputs required of the work-unit.
- Key Words: Schedule Work; Organizing; Allocate Resources; Achieves Results; Develop Plans.

Behavioral Indicators :

- Develops annual plans for the work unit.
- Analyses goals and schedules component tasks accordingly.
- Organizes and prioritizes tasks so they can be performed within the budget and to achieve the most efficient use of time.
- Sequences activities and develop schedules.
- Identifies and allocates resources.

Planning

- A plan is a predetermined course of action.
- It is a blue print for goal achievement.
- Simply stated, it is setting goals and deciding how to achieve them.
- Planning is deciding in advance what to do, how to do it, when to do it and who is to do it.
- It bridges the gap from where we are to where we want to go

Characteristics of Planning

Planning is goal-oriented: All plans arise from objectives. Objectives provide the basic guidelines for planning activities. Planning has no meaning unless it contributes in some positive manner to the achievement of predetermined goals.

Planning is a primary function: Planning is the foundation of management. It is a parent exercise in management process. It is a preface to business activities.

Planning is all-pervasive: Planning is a function of all managers. It is needed and practiced at all managerial levels. Planning is inherent in everything a manager does.

Planning is a mental exercise: Planning is a mental process involving imagination, foresight and sound judgment. Planning compels managers to abandon guesswork and wishful thinking. It makes them think in a logical and systematic manner.

Planning is a continuous process: Planning is continuous. It is a never-ending activity. It is an ongoing process of adjustment to change. There is always need for a new plan to be drawn on the basis of new demands and changes in the circumstances.

Planning involves choice: Planning essentially involves choice among various alternative courses of action. If there is one way of doing something, there is no need for planning. The need for planning arises only when alternatives are available.

Planning is forward looking: Planning means looking ahead and preparing for the future. It means peeping into the future, analyzing it and preparing for it. Managers plan today with a view to flourish tomorrow. Without planning, business becomes random in nature and decisions would become meaningless, ad hoc choices.

Planning is flexible: Planning is based on a forecast of future events. Since future is uncertain, plans should be reasonably flexible. When market conditions change, planners have to make necessary changes in the existing plans.

Planning is an integrated process: Plans are structured in a logical way wherein every lower-level plan serves as a means to accomplish higher level plans. They are highly interdependent and mutually supportive.

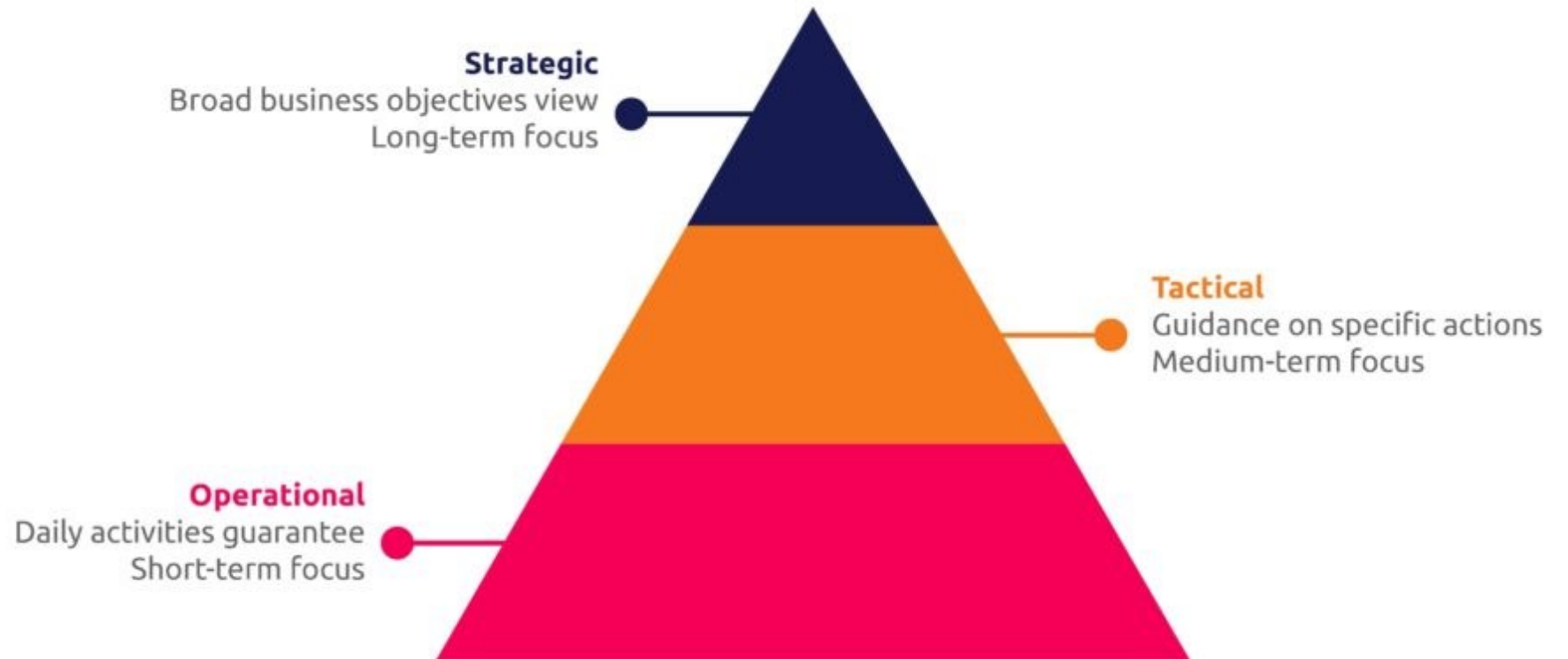
Planning includes efficiency and effectiveness dimensions: Plans aim at deploying resources economically and efficiently. They also try to accomplish what has been actually targeted. The effectiveness of plans is usually dependent on how much it can contribute to the predetermined objectives.

Limitations/Criticisms of Planning

- Rigidity
- Costly and time consuming
- Employee resistance
- False sense of security
- Managerial deficiencies due to intellectuality ability.
- Planning prevents innovation
- External Limitations
 - Difficult to predict
 - Projected too far into the future
 - Environmental turbulence
 - Emergency situations

Types of Planning

- Strategic Planning
- Tactical Planning
- Operational Planning



Strategic Planning

- It involves decisions about the organization's long-term goals such as survival, growth etc.
- It involves setting long term objectives (by top management) and deciding about the judicious deployment of resources to achieve those objectives.
- Strategic planning, thus, is long-term in nature.
- It tends to be a top management responsibility.
- It requires looking outside the organization for threats and opportunities.
- It also requires looking inside the organization for finding out weaknesses and strengths.

Strategic Planning

- It affects many parts of the organization, as its decisions have enduring effects that are difficult to reverse.
- It tries to equip the organization with capabilities needed to confront future uncertainties, by taking a holistic view of the entire organization.
- Its focus is clearly on the 'jungle, not the trees'. The main objective is to position the firm in an advantageous position in relation to the environment, keeping the firm's own capabilities in mind.

Example: In business, it means how much money is going to be dedicated to a project, and by when you expect the project complete. In personal life, suppose you plan a wedding, it means deciding on the budget and the date.

Tactical Planning

- It translates broad strategic goals and plans into specific goals and plans that are relevant to a definite portion of the organization, such as a functional area like marketing or human resources.
- Tactical plans focus on a major actions a unit must take to fulfil a part of the strategic planning.
- They are often focused on 1-2 years in the future.
- This is the implementation of the strategic plan stage combining your available resources, look at obstacles, and review alternatives.
- Example: In business, it means an analysis of resource combination, planning for obstacles, and general timetable. In personal life, for the wedding, it means, finding the place, developing a guest list, deciding on a menu and music.

Operational Planning

- Operational planning identifies the specific procedures and processes required at lower levels of the organization.
- Frontline managers usually focus on routine tasks such as production runs, delivery schedules, and human resource needs etc.
- They typically focus on the short term, usually 12 months or less.
- These plans are the least complex of the three and rarely have a direct effect or other plans outside of the department or unit for which the plan was developed.
- Example: In business, it means engaging the team, develop and answer the who, what, when, where, how management questions. In personal life, for the wedding, it means, choosing the band, finding the caterer, decide on flowers, etc.

Conculsion....

- For a plan to be fully effective, the organization's strategic, tactical and operational plans must be aligned – that is, they must be consistent, mutually supportive and focused on meeting the common purpose and direction.

Planning of Apple.inc

- At the strategic level, Apple defined the vision of creating innovative products, combining elegant design and advanced features.
- At the tactical level, the company developed marketing strategies to position its products as objects of desire and established partnerships to ensure the availability of key components.
- At the operational level, the company focused on ensuring product quality and defining an efficient chain to meet global demand.

Planning of McDonald

Another famous example is the McDonald's network.

- At the strategic level, they set the goal of becoming the most recognized fast-food company in the world.
- At the tactical level, they implemented global expansion strategies, adapting their products and operations to meet different cultures and regional preferences.
- At the operational level, McDonald's standardized processes, employee training, and quality controls, ensuring consistency of products and services in all its stores.

Steps in Planning

- **Establishing objectives:** The first step in the planning process is to identify the goals of the organization. The internal as well as external conditions affecting the organization must be thoroughly examined before setting objectives. The objectives so derived must clearly indicate what is to be achieved, where action should take place, who is to perform it, how it is to be undertaken and when is it to be accomplished. In other words, managers must provide clear guidelines for organizational efforts, so that activities can be kept on the right track.
- **Developing premises:** After setting objectives, it is necessary to outline planning premises. Premises are assumptions about the environment in which plans are made and implemented. Thus, assumptions about the likely impact of important environmental factors such as market demand for goods, cost of raw materials, technology to be used, population growth, government policy, etc. on the future plans are made. Plans should be formulated by the management, keeping the constraints imposed by internal as well as external conditions in mind.

- **Evaluating alternatives and selection:** After establishing the objectives and planning premises, the alternative courses of action have to be considered. The pros and cons as well as the consequences of each alternative course of action must be examined thoroughly before a choice is made.
- **Formulating derivative plans:** After selecting the best course of action, the management has to formulate the secondary plans to support the basic plan. The plans derived for various departments, units, activities, etc., in a detailed manner are known as 'derivative plans'. For example, the basic production plan requires a number of things such as availability of plant and machinery, training of employees, provision of adequate finance, etc. To ensure the success of a basic plan, the derivative plans must indicate the time schedule and sequence of performing various tasks.

- **Securing cooperation and participation:** The successful implementation of a plan depends, to a large extent, on the whole-hearted cooperation of the employees. In view of this, management should involve operations people in the planning activities.
- **Providing for follow-up:** Plans have to be reviewed continually to ensure their relevance and effectiveness. In the course of implementing plans, certain facts may come to light that were not even thought of earlier. In the light of these changed conditions, plans have to be revised. Without such a regular follow-up, plans may become out-of-date and useless. Moreover, such a step ensures the implementation plans along right lines.

There are many tools that can help with planning, including project management tools, strategic planning tools, and other tools.

SWOT analysis

- A strategic planning tool that stands for strengths, weaknesses, opportunities, and threats.

ClickUp

- A project management tool that helps teams prioritize tasks and organize strategic plans.

Asana

- A project planning tool that combines project planning, task management, and collaboration tools.

Trello

- A project management tool that uses boards and cards to manage projects and tasks.

PEST analysis

- A strategic planning tool that helps businesses assess political, economic, social, and technological factors that may impact their business.

Jira

- A tool for planning, tracking, and releasing software projects.

Kanban Tool

- A visual management solution that helps companies visualize workflow, track project progress, and analyze business processes.

Balanced Scorecard

- A strategic planning tool that focuses on both operational and financial factors.

When choosing a project planning tool, you can consider things like:

- User-friendliness: How easy it is for your team to use and navigate the tool
- Integration: Whether it integrates with other apps you're using
- Suitability for your project type: Whether the tool supports the types of projects you usually manage

Importance of Planning

- Planning provides direction
- Planning provides a unifying framework
- Planning is economical
- Planning reduces the risks of uncertainty
- Planning facilitates decision making
- Planning encourages innovation and creativity
- Planning improves ethics and morale
- Planning facilitates control

Organizing

- Organizing is the process of arranging resources and coordinating people to achieve a common goal. It's a management function that follows after planning.

Process of organizing

- **Assigning tasks:** Tasks are assigned to individuals and groups.
- **Grouping tasks:** Tasks are grouped into departments.
- **Delegating authority:** Authority and responsibility are delegated to employees.
- **Allocating resources:** Resources are allocated across the organization.
- **Establishing relationships:** Relationships are established between activities and resources.
- **Coordinating:** Managers coordinate employees, resources, policies, and procedures.

Organization Structure

- An organizational structure consists of activities such as task allocation, coordination and supervision, which are directed towards the achievement of organizational aims.
- It can also be considered as the viewing glass or perspective through which individuals see their organization and its environment.
- According to Stoner—organizational structure is the way in which an organization's activities are divided, organized and coordinated.
- An organization can be structured in many different ways, depending on their objectives

Types of organization structure

- In our country most widely, these 2 types of Organization Structures are used and widely implemented.

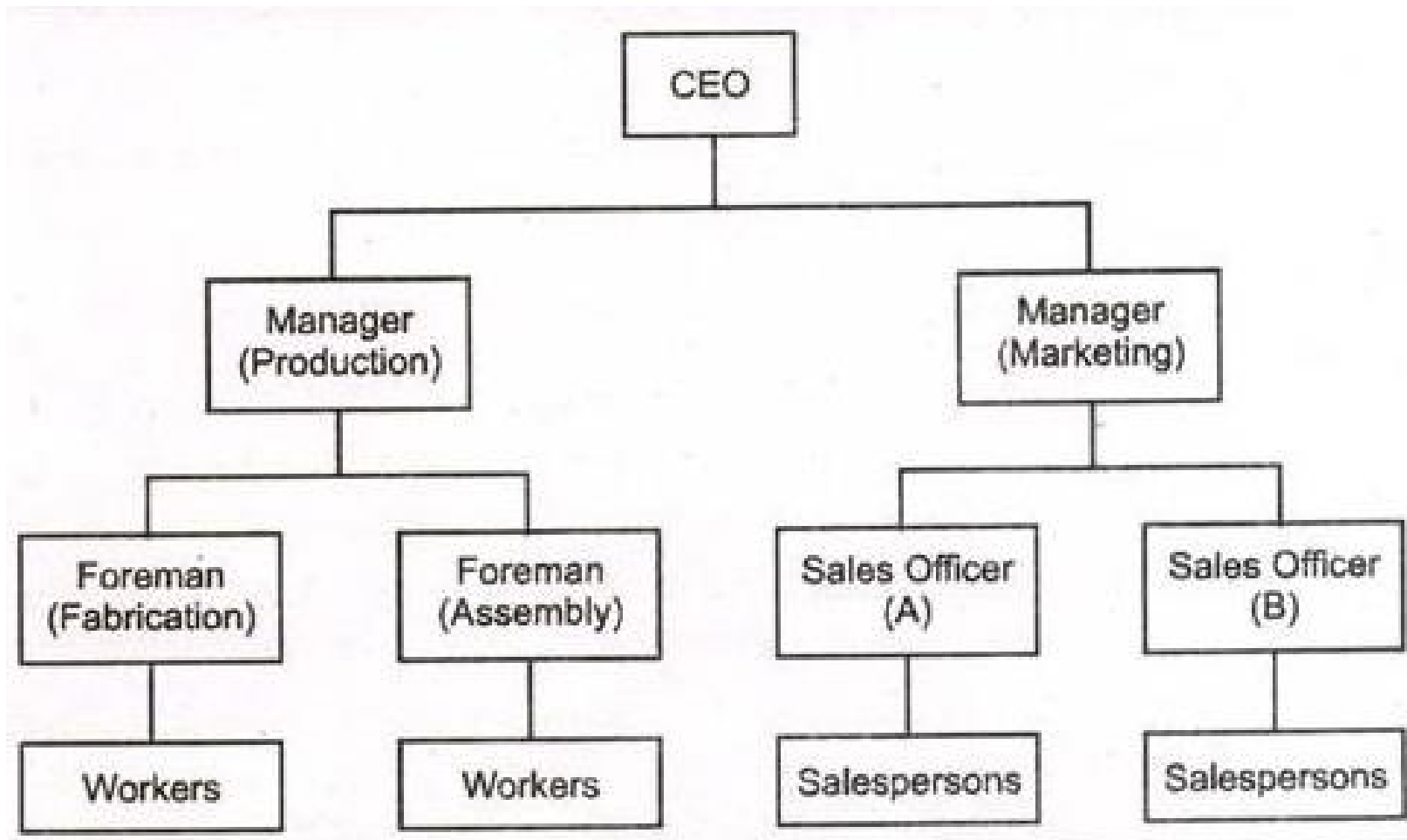
Traditional Structure

1. Line organization/scalar structure/military organization
2. Line and staff organization
3. Functional organization

Modern Structure

1. Matrix
2. Network
3. Hybrid

Line organization/scalar structure/military organization



Characteristics of Line Organization

- Oldest form of organization
- There is direct and fixed line of authority between superior and subordinate
- Authority flows from top to down in the organizational hierarchy
- It entitles a manager to direct the work of subordinates
- One employee has only one boss

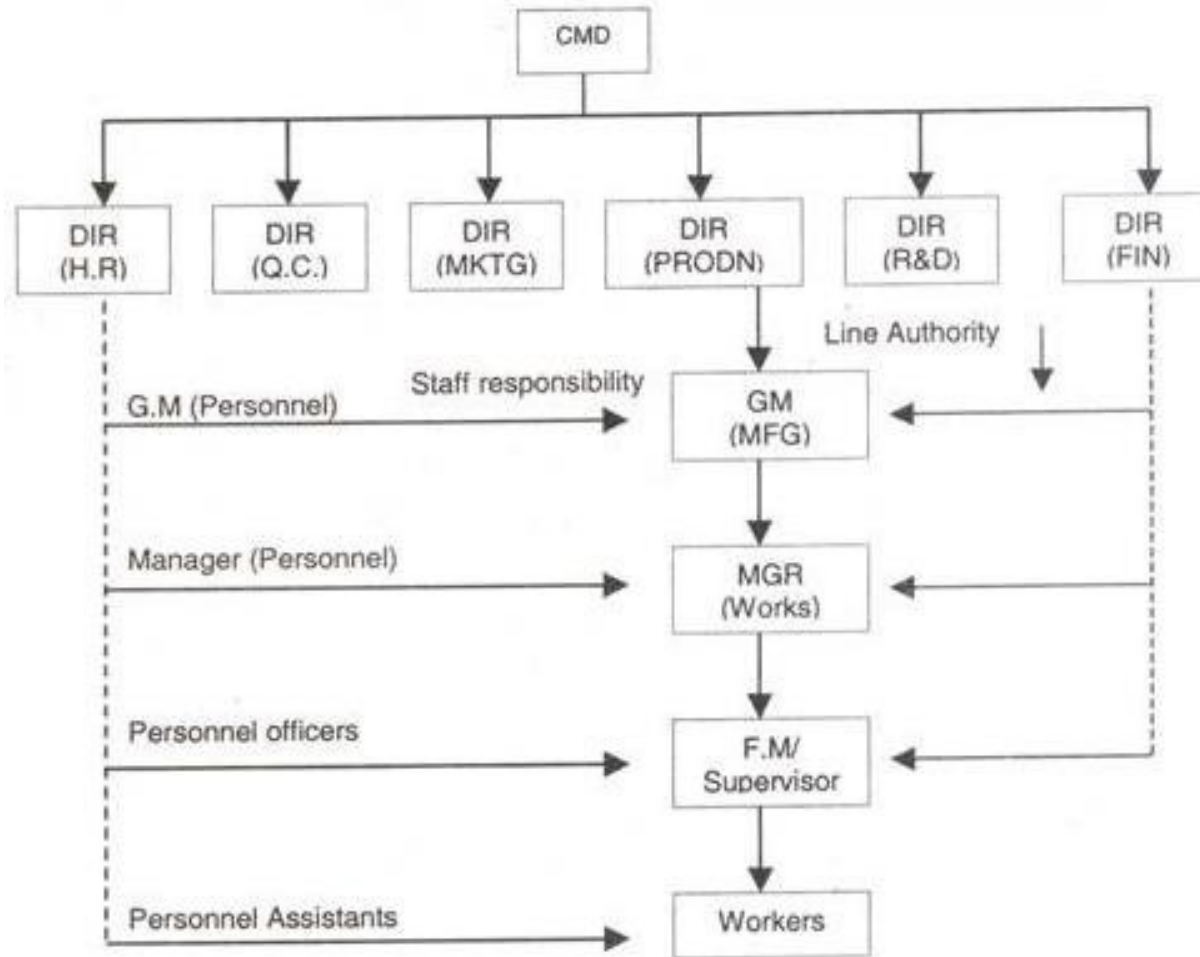
Merits of Line organization

- Simple to design and easy to understand
- Authority-responsibility relationships are clear and definite
- Unity of command
- Managers can make prompt decision within the limits of their authority
- This structure is less expensive because staff specialists are not required
- More flexible on such environment change
- Easy to fix responsibility to each staff

Demerits of Line organization

- Tends to be rigid and inflexible
- Centralization of authority at the top can lead to autocratic behavior
- Superiors are overburdened with diverse jobs
- Nepotism and favoritism prevail due to control of activities
- Generally one way communication from top to bottom
- Lack of expert advice can lead to waste of resources
- Sub optimization emerges because every department works for its own interests.

Line and Staff organization



Legend:

HR – Human Resources
MKTG – Marketing
R & D – Research and Development
MFG – Manufacturing
MGR – Manager

DIR – Director
QC – Quality Control
PRODN – Production
FIN – Finance
GM – General Manager
FM – Foreman

- The previous figure illustrates the line and staff organizational chart.
- The line functions are production and marketing whereas the staff functions include personnel, quality control, research and development, finance, accounting etc.
- The staff authority of functional authority organizational structure is replaced by staff responsibility so that the principle of unity of command is not violated.

Characteristics

- Line and staff organization is characterized by both line and staff position.
- A line position is a position in the direct chain of command that is responsible for the achievement of an organization's goal.
- Line functions directly contribute to goal accomplishment. It contains the power to make and execute decision.
- A staff position is intended to provide expertise, advice and support for line positions. Staff functions contribute indirectly to goal accomplishment.

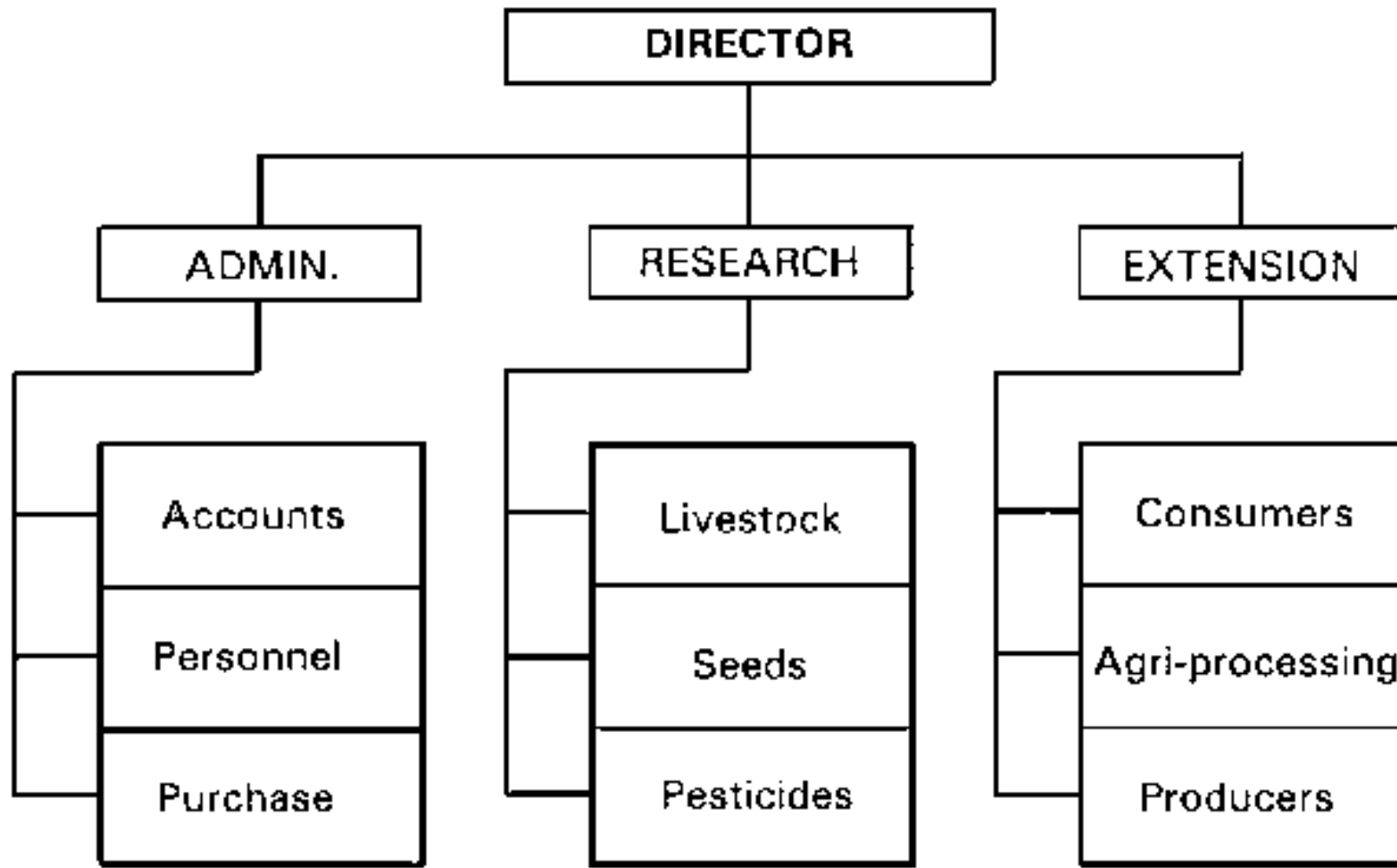
Merits of Line and staff organization

- Staff specialists provide expert advice and services
- Decision making becomes more effective and specialized
- It is based upon planned specialization
- Staff experts do not disturb the scalar chain of command and authority. So discipline and stability can be maintained
- Work load can be balance because staff members take care of information collection and detailed job analysis
- Staff specialists can be added to the line structure when necessary
- Staff specialists provide opportunities for development and advancement to line members as the expert advice help to improve performance

Demerits of Line and staff organization

- Staff members tend to interfere with line authority to get their advice implemented
- Lack of coordination between line and staff members may lead to confusion
- Line members may become over dependent on staff members for decision making
- Staff members may lack practical knowledge
- Expensive because two sets of employees are needed
- Greater chance of conflict, rivalry and jealousy
- Misunderstanding and misinterpretation could pervade

Functional organization



- Functional organization is a type of organizational structure that uses the principle of specialization based on function or role.
- It allows decisions to be decentralized since issues are delegated to specialized persons or units, leaving them the responsibility of implementing, evaluating, or controlling the given procedures or goals.
- Thus a functional organization, in which everyone engaged in one functional activity such as marketing or finance, is grouped into one unit.
- F. W. Taylor-father of scientific management-originally developed the concept of functional structure.
- It is most commonly used by small size organization.

Characteristics of functional organization

- Organizational members are grouped into functional departments
- It focuses on specialization as every manager concentrates on a particular function
- Establish definite relationship between divided units
- It focuses only on organizational functions such as marketing, finance, rather than the basic managerial functions such as planning or controlling
- A subordinate refers to multiple bosses for different functions

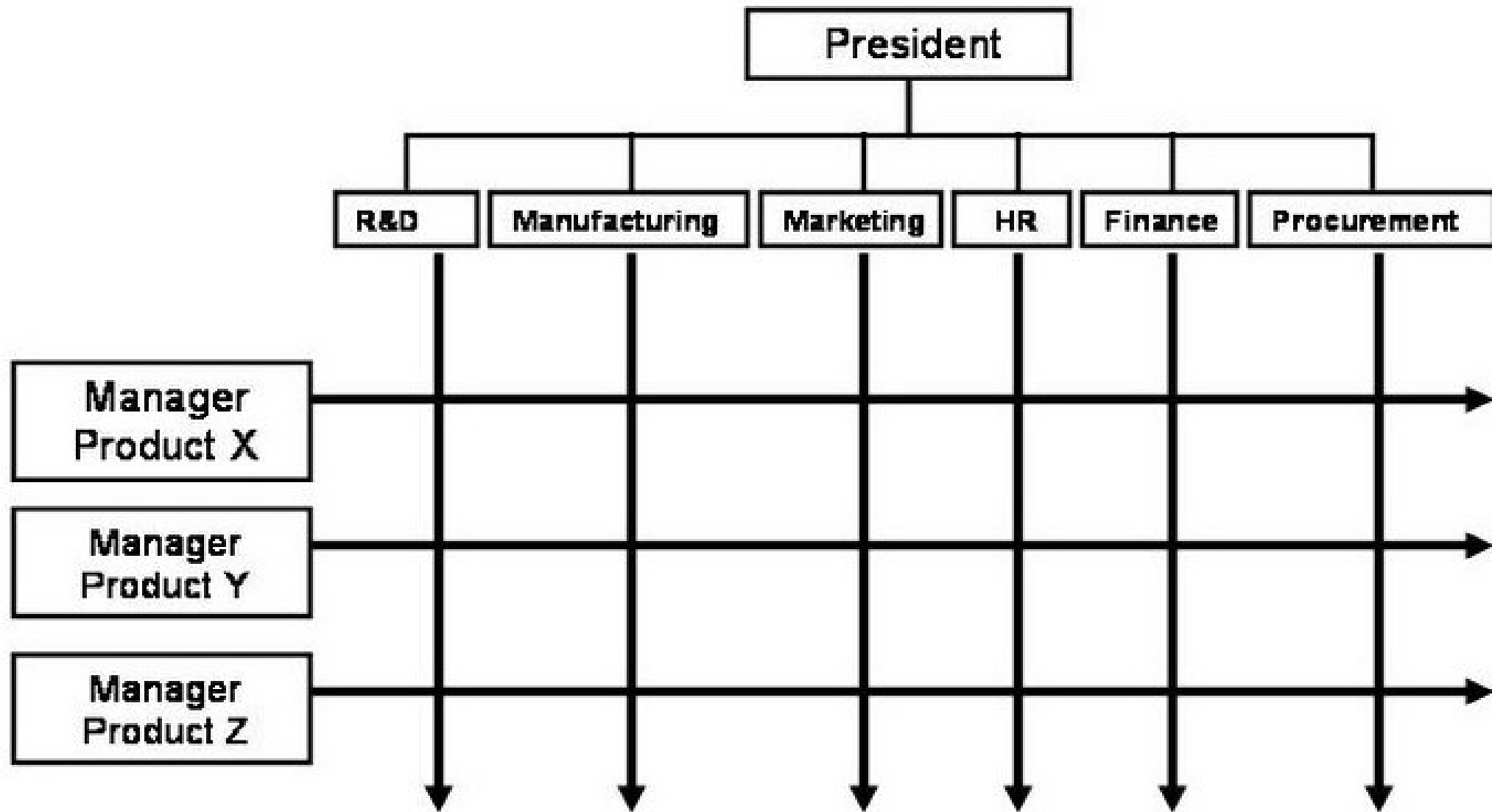
Merits of Functional organization

- It facilitates work specialization
- It allows coordination within function
- Specialists managers increase efficiency
- Increase in operational efficiency
- It makes supervision easier since each manager must be expert in only a narrow range of skills
- Makes easier to mobilize specialized skills and bring them to bear where they are most needed
- Facilitates career progression within functional areas
- Overburden of work is reduced

Demerits of Functional organization

- It can be difficult to get quick decision because functional manager has to report to top authority
- problems and difficulties of multiple command
- It is often harder to determine accountability and judge performance because a subordinate is related to his functions in all department
- It is more complicated in operation
- lack of well-defined responsibility
- There can be self-centered narrow departmental focus

Matrix Structure



- A matrix structure provides for reporting levels both horizontally as well as vertically.
- Employees may be part of a functional group but may serve on a team that supports new product development.
- This kind of structure may have members of different groups working together to develop a new product line.
- The advantage of a matrix organizational structure is that employees have responsibility not only for their department but for organizational projects.
- A challenge with this type of structure presents itself when employees are given direction from two different managers and they need to prioritize their work responsibilities.

Advantages

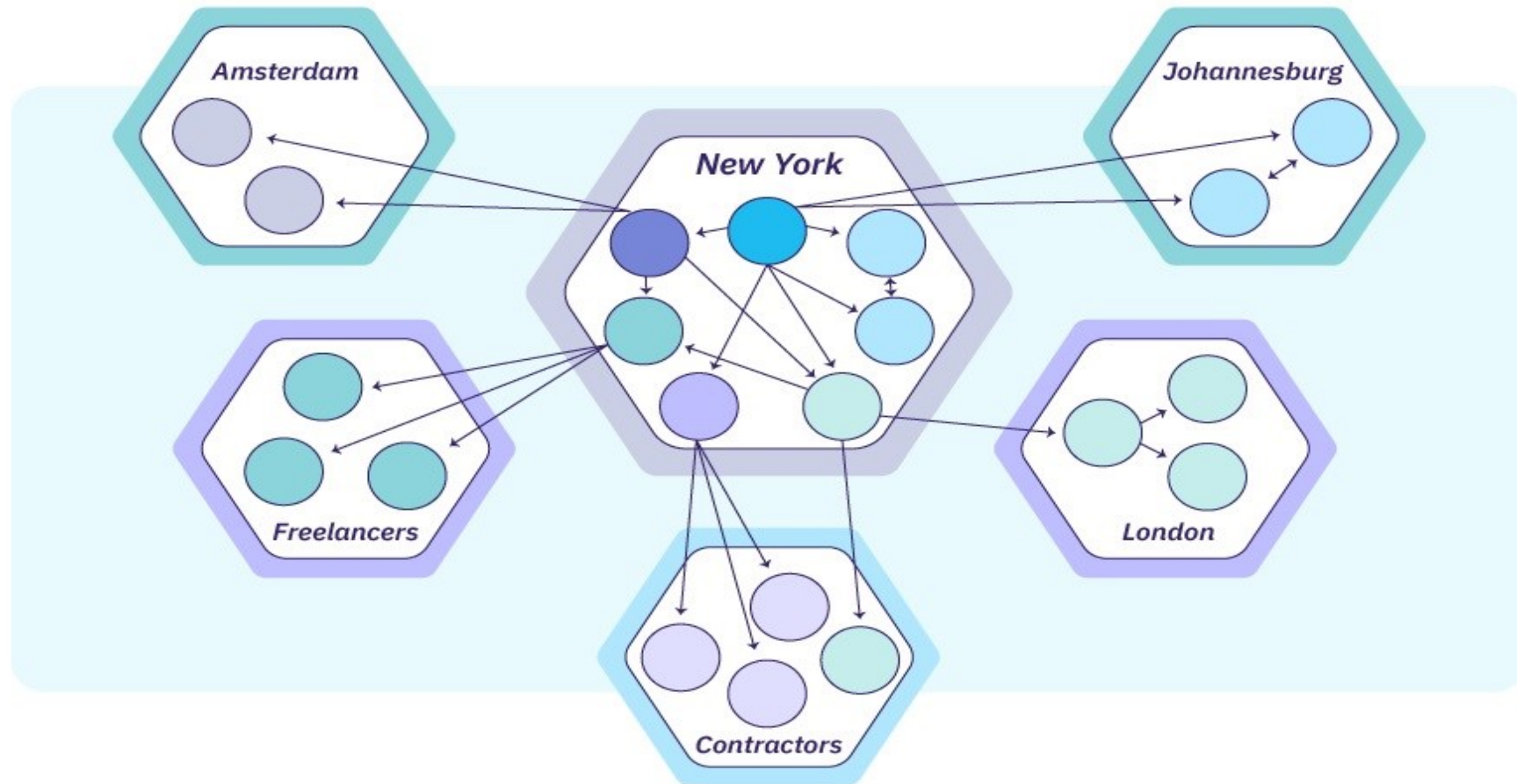
- Decentralized decision making.
- Strong product/project co-ordination.
- Improved environmental monitoring.
- Fast response to change.
- Flexible use of resources.
- Efficient use of support systems.

Disadvantages

- High administration cost.
- Potential confusion over authority and responsibility.
- High prospects of conflict.
- Overemphasis on group decision making.
- Excessive focus on internal relations.

Network

Network Organization Structure



- It is a decentralized company structure that operates as a network of autonomous businesses or business units as opposed to a traditional centralized, hierarchical structure.
- Each unit is responsible for its own profit and losses, and all units share a common goal of maximizing the value of the network as a whole. Units can share resources and collaborate where it makes sense to do so commercially. Units can be under the same consumer brand or operate under independent brands.
- This type of organizational design delivers work through a network of working relationships that can exist within the context of a market, product, project, or function. This type of design is popular in global and multi-national organizations, the FMCG sector, and telecommunications, where scale, flexibility, and localization are critical to achieving success.
- It should be structured as a network of teams instead of a hierarchy of departments and individual managers to allow for more flexibility and adaptability to changing market conditions.

- There are a number of benefits to this type of structure. These include improved communication, decreased bureaucracy, and increased creativity and innovation. Networks are also better able to respond to change, which is becoming an increasingly important factor in the modern business landscape.

Network organization examples

- KFC
- Starbucks
- Zara
- Domino's Pizza
- Pizza Hut

Types of network organizations?

1. Functional network organization

- A functional network organization is one in which the members are organized by their function within the company. So, you might have marketing, sales, and customer service departments all working together to achieve the company's goals.

2. Product network organization

- A product network organization is one in which the members are organized by their product lines. So, you might have a soft drink division, a snack food division, and a cereal division, all working together to create products for sale.

3. Market network organization

- A market network organization is one in which the members are organized by their market segments. So, you might have a children's clothing division, a women's clothing division, and a men's clothing division all working together to create products for different markets.

4. Geographical network organizations

- A geographical network organization is one in which members are organized according to geographical region. For example, you might have all the business units in Europe, Middle East, and Africa organized into the EMEA region. The South American businesses would fall within the LATAM region.

5. Agile network organizations

- An agile network organization is one where members are organized around a specific task or goal before disbanding. Examples include project teams that are pulled together across various business units to collaborate on a specific project for a designated period of time before moving back to their business units.

Advantages

- Strong employee motivation
- Outsourcing and partnerships
- Flexibility and task resolution
- Decentralized decision-making
- Non-bureaucratic executives
- Coordination and control
- Dynamic team formation
- Specialization
- Collaboration and innovation
- Adaptability
- Resilience

Disadvantages

- Difficult to maintain a sense of control
- Disunity and delay in meeting deadlines and company targets
- Risk of duplication occurring
- Difficult to make decisions or take action when needed.

Hybrid Organization Structure

- Hybrid organization is one that mixes elements, value systems and action logics (e.g. social impact and profit generation) of various sectors of society, i.e. the public sector, the private sector and the voluntary sector.
- A more general notion of hybridity can be found in Hybrid institutions and governance.
- According to previous research organizations under hybrid between public and private spheres consist of following features:
 1. Shared ownership
 2. Goal incongruence and different institutional logics in the same organization
 3. Variety in the sources of financing
 4. Differentiated forms of economic and social control

Main organizational elements of Hybrid Organization?

The hybrid organization comprises four major organizational elements:

1. **Core structure or backbone** – it secures the overall strategy, governance and synergies across the corporation
2. **Functional units** – they assure the operational excellence, protection and further development of the company's key capabilities, skills, and competencies
3. **Agile units** – they operate closely to/with the customer and the market. They execute the operational business, especially in volatile environments.
4. **Shared services** – they represent the interface between the agile (3.) and the functional (2.) units

Some hybrid business examples

- Public service organizations founded by societal actors, such as most social housing providers, public schools, and hospitals (in the European setting);
- Organizations in the public sector that act like businesses, such as state-owned enterprises that compete in the marketplace;
- Franchises, joint ventures, and business groups are examples of private sector organizations.
- Associations, particularly trade associations, often combine impact-oriented operations (public relations, lobbying, special interest groups) with profit-oriented activities (e.g., events, seminars, consulting) through a subsidiary, usually a wholly-owned subsidiary.
- Microfinance institutions
- Hybrid corporations that engage in corporate social entrepreneurship in order to advance social and environmental goals while also generating profits for shareholders

Advantages of Hybrid Organization?

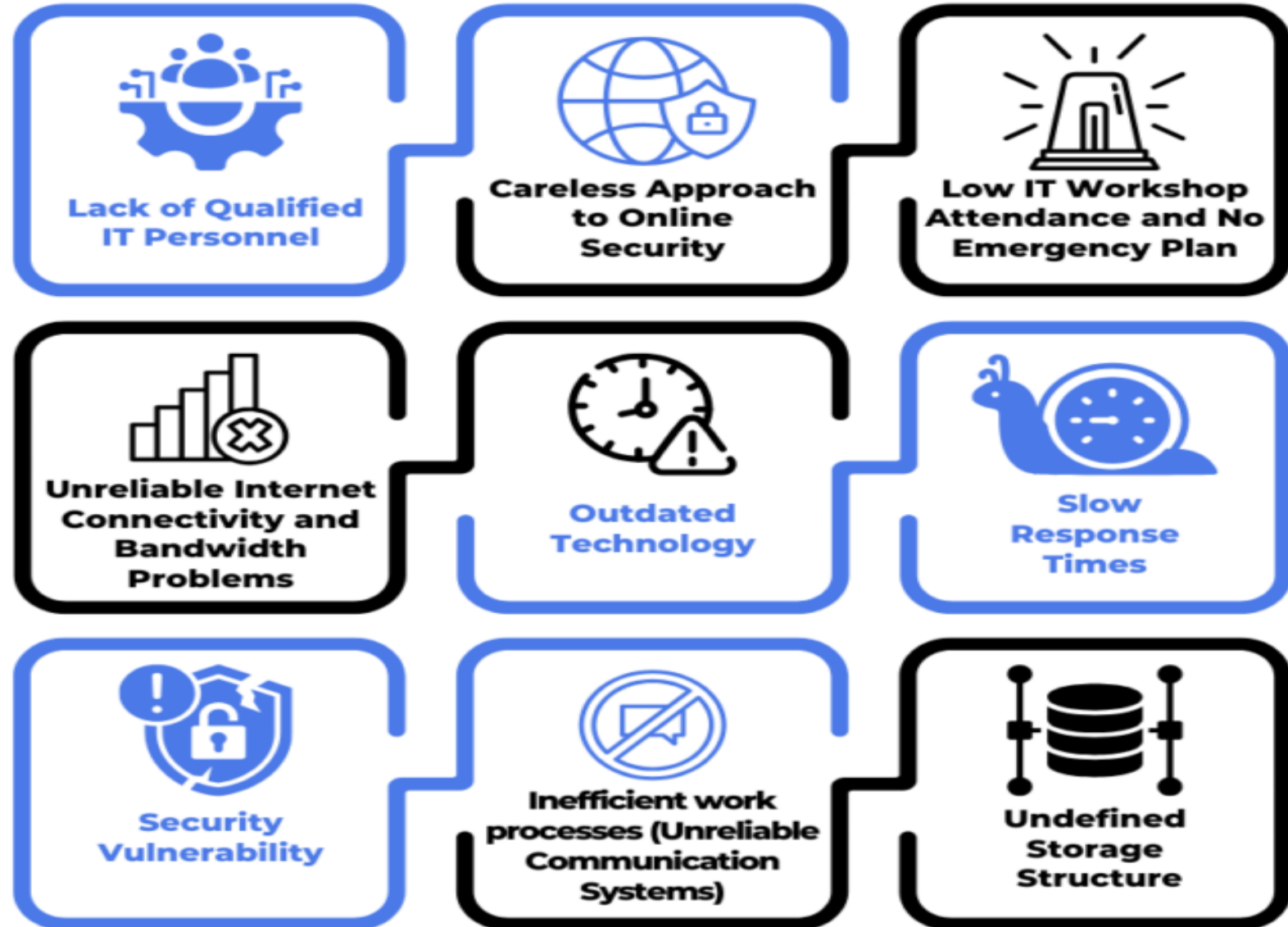
- Increased efficiency
- Development of cross-functional skills
- Flexibility

Disadvantages of Hybrid Organization?

- Conflicts
- Too much administration overhead:

Emerging Planning and organizing issues for ICT enterprises

- According to recent studies, most of the ICT enterprises generally suffers from these 9 common problems.



Thank You